

# THE KARATTO COLLECTION

## HOTEL MANAGEMENT AGREEMENT

### TEMPLATE AGREEMENT

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## HOTEL MANAGEMENT AGREEMENT

This Hotel Management Agreement ("Agreement") is entered into as of [DATE], by and between:

### OWNER

[LEGAL ENTITY NAME] A company organized and existing under the laws of [JURISDICTION], with its principal place of business located at: [ADDRESS]

AND

### OPERATOR

THE KARATTO COLLECTION LTD. A hospitality management company organized under the laws of [JURISDICTION], with its principal office located at: [ADDRESS]

Collectively referred to herein as the "Parties."

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## 1. PURPOSE OF AGREEMENT

Owner appoints Operator as the exclusive manager and operator of the hotel property known as:

### PROPERTY NAME:

[PROPERTY NAME]

### PROPERTY ADDRESS:

[ADDRESS]

The Operator shall manage, supervise, direct, and operate the Property in accordance with:

- The Karatto Collection brand standards
  - Luxury hospitality operational standards
  - Applicable laws and regulations
  - Approved annual budgets
  - Industry best practices
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## **2. TERM**

### **Initial Term**

This Agreement shall commence on [COMMENCEMENT DATE] and continue for an initial term of:

**[10–20 YEARS]**

unless earlier terminated pursuant to the provisions herein.

### **Renewal Terms**

The Agreement may be renewed for:

- Two (2) additional terms of five (5) years each subject to:
  - Mutual agreement
  - Compliance with performance obligations
  - No material default by either Party
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## **3. OPERATOR RESPONSIBILITIES**

Operator shall provide complete management services for the Property including, but not limited to:

### **A. HOTEL OPERATIONS**

- Front Office Operations
- Reservations
- Housekeeping
- Engineering & Maintenance
- Security
- Guest Services

- Concierge Services
- Transportation Coordination

## **B. FOOD & BEVERAGE OPERATIONS**

- Restaurants
- Bars & Lounges
- In-Room Dining
- Banquets & Catering
- Culinary Management

## **C. SALES & MARKETING**

- Revenue Management
- Digital Marketing
- Public Relations
- Brand Positioning
- Sales Strategy
- Travel Advisor Relations
- Social Media Management

## **D. HUMAN RESOURCES**

- Recruitment
- Training
- Payroll oversight
- Performance management
- Employee culture development
- Service standards implementation

## **E. FINANCIAL MANAGEMENT**

- Accounting oversight
- Budget preparation
- Financial reporting
- Procurement coordination
- Cost controls
- Cash flow management

## **F. BRAND IMPLEMENTATION**

Operator shall implement:

- The Art of Curated Hospitality program
- Luxury service culture standards
- Visual brand standards
- SOP manuals

- Guest experience protocols
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## **4. OWNER RESPONSIBILITIES**

Owner shall:

- Maintain ownership of the Property
  - Provide sufficient working capital
  - Fund approved budgets
  - Maintain required insurance coverage
  - Fund capital expenditures
  - Maintain the Property in accordance with brand standards
  - Pay taxes, utilities, and debt obligations
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## **5. OPERATOR AUTHORITY**

Operator shall have full authority over day-to-day operations including:

- Staffing decisions
- Vendor selection
- Service standards
- Pricing strategies
- Revenue management
- Marketing execution
- Procurement
- Operational systems

The following require Owner approval:

- Capital expenditures exceeding [\$ AMOUNT]
  - Financing obligations
  - Structural renovations
  - Asset sales
  - Long-term leases
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## **6. MANAGEMENT FEES**

### **Base Management Fee**

Owner shall pay Operator:

**[2%–4%] of Gross Revenue**

payable monthly.

**Incentive Fee**

Owner shall additionally pay Operator:

**[8%–12%] of Gross Operating Profit (GOP)**

payable quarterly.

**Additional Fees**

Additional services may include:

- Technical services
- Pre-opening services
- Branding/licensing services
- Special consulting services

Such fees shall be separately agreed upon in writing.

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## **7. WORKING CAPITAL & RESERVES**

### **Working Capital**

Owner shall provide sufficient working capital necessary for hotel operations.

### **FF&E Reserve**

Owner shall contribute:

**[3%–5%] of Gross Revenue**

annually into a Furniture, Fixtures & Equipment Reserve Account.

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## **8. BUDGETS & BUSINESS PLANS**

Operator shall prepare:

- Annual operating budgets

- Capital budgets
- Marketing plans
- Revenue forecasts

Budgets shall be submitted to Owner annually for approval.

If Owner fails to approve within [30] days, the proposed budget shall be deemed approved.

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## **9. BRAND STANDARDS**

Owner acknowledges that the Property shall operate in accordance with:

- The Karatto Collection Brand Standards Manual
- Visual Brand Standards Bible
- Luxury Service Standards
- SOP Manuals
- Guest Experience Standards

Failure to maintain standards may constitute default.

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## **10. PERFORMANCE TEST**

Operator shall meet the following performance thresholds:

### **Financial Performance**

- RevPAR Index Targets
- GOP Margin Targets
- NOI Growth Objectives

### **Guest Experience**

- Guest Satisfaction Scores
- Online Reputation Ratings
- Mystery Shopper Audits

### **Operational Standards**

- Brand compliance scores
  - Service audit scores
  - Employee engagement scores
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## 11. FAILURE OF PERFORMANCE TEST

If Operator fails the Performance Test for:

**Two (2) consecutive fiscal years,**

Owner may issue written notice.

Operator shall have:

**180 days**

to cure deficiencies.

Force majeure events shall not count toward performance failures.

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## 12. PRE-OPENING SERVICES

Where applicable, Operator shall provide:

- Recruitment & staffing
- Training programs
- SOP implementation
- Systems setup
- Vendor onboarding
- Marketing launch support
- Soft opening coordination

Pre-opening services shall be governed by a separate Pre-Opening Agreement.

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## 13. TECHNICAL SERVICES

Operator may provide:

- Architectural review
- Interior design review
- Procurement guidance
- Space planning
- Operational design consultation

Technical services shall be governed under a separate Technical Services Agreement.

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## 14. INTELLECTUAL PROPERTY & BRAND LICENSING

Owner acknowledges that:

- All trademarks
- Logos
- Brand systems
- SOPs
- Training materials
- Marketing materials

remain the exclusive property of The Karatto Collection.

Owner shall not use such materials outside the scope of this Agreement.

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## 15. CONFIDENTIALITY

Both Parties agree to maintain confidentiality regarding:

- Financial information
- Guest information
- Operational systems
- Trade secrets
- Proprietary procedures
- Brand standards

This clause shall survive termination.

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## 16. INSURANCE

### **Owner Shall Maintain:**

- Property insurance
- Business interruption insurance
- General liability insurance
- Workers compensation insurance

### **Operator Shall Maintain:**

- Professional liability insurance
- Management liability coverage
- Cybersecurity insurance

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## 17. COMPLIANCE WITH LAWS

Operator shall manage the Property in accordance with:

- Applicable labor laws
- Tourism regulations
- Health & safety requirements
- Environmental regulations
- Licensing requirements

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## 18. SUSTAINABILITY & ESG STANDARDS

Operator shall use commercially reasonable efforts to implement:

- Sustainable operations
- Environmental practices
- Local sourcing initiatives
- Community engagement programs
- Energy conservation initiatives

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## 19. TERMINATION

### Termination for Cause

Either Party may terminate this Agreement upon material breach including:

- Fraud
- Gross negligence
- Criminal misconduct
- Bankruptcy
- Repeated material default

following written notice and cure periods.

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## 20. EARLY TERMINATION FEES

If Owner terminates this Agreement without cause, Owner shall pay:

- Remaining Base Fee obligations OR
- An agreed buyout formula

as liquidated damages.

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## 21. TRANSITION ASSISTANCE

Upon termination, Operator shall provide:

- Transition support
- Data transfer
- Operational handover
- Staff transition coordination

for a period of [60–180 days].

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## 22. FORCE MAJEURE

Neither Party shall be liable for failure to perform due to:

- Hurricanes
- Natural disasters
- Pandemics
- Government restrictions
- War
- Civil unrest
- Labor strikes

provided reasonable mitigation efforts are undertaken.

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## 23. DISPUTE RESOLUTION

The Parties agree to:

## Step 1: Mediation

Attempt good faith mediation.

## Step 2: Arbitration

Any unresolved dispute shall proceed to confidential arbitration under the laws of:

[JURISDICTION]

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## 24. GOVERNING LAW

This Agreement shall be governed by and construed in accordance with the laws of:

[COUNTRY/JURISDICTION]

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## 25. ENTIRE AGREEMENT

This Agreement constitutes the entire agreement between the Parties and supersedes all prior agreements, negotiations, and understandings.

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## 26. EXECUTION

IN WITNESS WHEREOF, the Parties hereto have executed this Agreement as of the Effective Date.

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## OWNER

NAME: \_\_\_\_\_

TITLE: \_\_\_\_\_

SIGNATURE: \_\_\_\_

DATE: \_\_\_\_\_

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# THE KARATTO COLLECTION LTD.

NAME: \_\_\_\_\_

TITLE: \_\_\_\_\_

SIGNATURE: \_\_\_\_

DATE: \_\_\_\_\_

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## APPENDIXES

### APPENDIX A

Brand Standards Manual

### APPENDIX B

Annual Budget Template

### APPENDIX C

KPI Performance Framework

### APPENDIX D

Luxury Service Standards

### APPENDIX E

Pre-Opening Services Scope

### APPENDIX F

Technical Services Scope

### APPENDIX G

Insurance Requirements

## **APPENDIX H**

### FF&E Reserve Guidelines